

not looking at a valid double top. Wait for price to close below the confirmation line before trading a stock showing a double top.

## Focus on Failures

Double tops have two types of failures. The first is one of identification. You must wait for price to close below the confirmation line. Only then does the twin-peak pattern become a true double top. You can try trading the pattern before price drops to the confirmation line, but if you are shorting a stock, you will probably take a loss when price soars away from you. Do the smart thing and wait for price to close below the low between the two peaks before trading.

The second type of failure is what I call a 5% failure. That means price confirms the pattern and then drops no more than 5% below the breakout price before rebounding. It happens more often than I like to see, so be prepared and use a stop to limit the loss.

Consider [Figure 30.5](#), a double top that obeys the identification guidelines, including closing below the confirmation level. The uphill run starts in May 1992 (not shown) and peaks in the first top during March 1993, representing a rise of over 60%. Price retraces the gain for a month before gathering steam and trying for a new high. It succeeds at the beginning of June, when price crests the old high by 63 cents.

However, the celebration is short and price tumbles. It drops over 20% before meeting support at 26. The new low is below the double top's valley (between the two peaks), the so-called confirmation price, but the stock quickly turns upward. Price climbs at a smart pace and does not stop until it touches 39 (not shown). That is a 50% bounce off the low. If you sold your shares when price closed below the confirmation level (thinking the stock would continue down), you would have walked away from a chunk of money (that is, holding onto the shares and seeing price rise 50%).

The failure of price to drop more than 5% below the breakout is what I call a 5% failure. Price breaks out downward but fails to descend by more than 5% before turning around. Unfortunately, 5% failures are plentiful for Adam & Adam double tops (ranking 21 out of 36 patterns, where 1 has the lowest failure rate). Speaking of numbers, let's talk about them, shall we?